MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU - BBA (Honours) REGULAR EXAMINATION, OCTOBER 2025
Third Semester

Skill Enhancement Course (SEC) :MG3SECBBA200 -

Entrepreneurship and Startup Ecosystem

(2024 Admission Onwards)

PART - A

Short Answer Questions (four to five sentences)

A choice between two options for each question, answer five short answer questions, one from each pair.

1a. Meena believes that only rich people can start a business. Which myth is evident here? Explain why it is incorrect.

Myth: "Only rich people can be entrepreneurs."(Starting a business requires a lot of money)

Explanation: Entrepreneurship is not limited to the wealthy, it depends on creativity, innovation, and risk-taking. Many successful entrepreneurs started with limited resources but strong ideas and determination. Access to microfinance, crowdfunding, and startup schemes support aspiring entrepreneurs.

OR

1b. Define Women Entrepreneurship.

Women entrepreneurship refers to creating, managing and developing a business enterprise by a woman or a group of women. It involves identifying market opportunities, taking financial risks, organizing resources and leading operations to generate income.They contribute to economic growth, employment generation, and social development by overcoming gender-related challenges.

2a. State any three reasons why entrepreneurs need a business plan. (Any other relevant points may be considered and given marks.)

- Provides a clear roadmap for business operations and growth.

- Helps in obtaining financial support from investors or banks.
- Assists in evaluating performance and making informed decisions.

OR

2b. Briefly explain how effectively the problem-solving approach is applied in business idea generation.?

Entrepreneurs identify real-world problems faced by people and create innovative solutions to address them. This approach ensures product-market fit, sustainability, and long-term customer satisfaction. Since it addresses unmet needs, this is one of the most effective ways to generate practical and successful business ideas

3a. Define joint venture. State any two advantages.

A joint venture is a strategic collaboration between two or more firms that form a new legal entity to accomplish shared objectives by combining resources and capabilities, while distributing risks and profits among the partners. (1 mark)

Advantages (2 marks) (Any other relevant points may be considered and given marks.)

- Access to new markets and distribution networks.
- Sharing resources, technology, and expertise.

OR

3b. State the role of State Finance Corporations (SFCs). (Any other relevant points may be considered and given marks.)

1.Provide medium and long-term financial assistance to small and medium enterprises (SMEs).

2 Encourage regional industrial development.

3 Support entrepreneurship through loans, underwriting, and guarantees.

4a. Explain how a Startup Ecosystem supports entrepreneurship.

The startup ecosystem includes incubators, accelerators, investors, mentors, and government policies that promote innovation and growth.It provides access to funding, networking, training, and infrastructure, enabling startups to scale efficiently.

OR

4b. Discuss the key features of the Stand-Up India Scheme.

Launched in 2016 to promote entrepreneurship among women and SC/ST communities.

Provides bank loans between ₹10 lakh–₹1 crore for setting up new enterprises.

Aims for inclusive economic growth by empowering underrepresented groups.

5a. Explain Startup India Policy.

The Start-up India Policy, launched by the Government of India on January 16, 2016, is a flagship initiative aimed at building a strong ecosystem that nurtures innovation and entrepreneurship.This program offers benefits such as mentoring and networking opportunities, tax exemptions, easier compliance, funding support, and incubation assistance.

OR

5b. List any four indicators of Ease of Doing Business. (Any other relevant points may be considered and given marks.)

1. Starting a business.
2. Dealing with construction permits.
3. Access to electricity.
4. Registering property.

PART B

Short Essay

A choice between two options for each question, answer three short essay questions, one from each pair

6a. Why is financial feasibility considered the most critical study?

It assesses the financial viability of a business idea by estimating costs, revenues, and profitability.

It helps determine whether the venture can sustain and generate adequate returns.Financial feasibility study also prevents losses by forecasting funding needs and break-even points.

OR

6b. Explain key methods used to validate a business idea. (Any other relevant points may be considered and given marks.)

Concept testing - presenting the product concept symbolically to target customers and get their reaction. The aim is to assess whether the idea is understandable, appealing and useful.

Customer Validation - involves creating a Minimum Viable Product (MVP), a basic yet functional version of the product to test the early users. The goal is to gather direct feedback through interviews, surveys and product usage and use it to enhance the idea.

Pilot Testing or Test Marketing - launching the final business model or product on a small scale to get an impression from the market and this helps the business to improve before launching it to a larger market.

7a. Why is a business plan referred to as the "roadmap" of a business? (Any other relevant points may be considered and given marks.)

Business plan is a written document describing all relevant internal and external elements and strategies for establishing and operating a new venture. It contains the operational and financial plan of a business, and details how its objectives will be achieved. A business plan is often an integration of functional plans such as marketing, finance, manufacturing, and human resources. It guides decision-making and helps monitor progress toward objectives.

OR

7b. Briefly explain SWOT Analysis.

SWOT stands for Strengths, Weaknesses, Opportunities, and Threats.

It is a strategic planning tool used to assess internal capabilities and external challenges of a firm.

Internal Factors:

- Strengths – Competitive advantages and capabilities of the firm.
- Weaknesses – Limitations or gaps in resources or operations.

External Factors:

- Opportunities – Market trends or changes beneficial for growth of the firm.
- Threats – External risks that may harm the business.

8a. Define Fabian entrepreneurs and explain their characteristics.

Fabian entrepreneurs are cautious and skeptical individuals who adopt innovations only when it is inevitable. They prefer steady, moderate growth over rapid expansion.(2 marks)

Characteristics (3 marks)

- Accept and stick to traditional methods of business.
- Often involved in family-owned businesses.
- Display carefulness and reluctance to change.
- Operate with a clear, strict, and basic strategy.
- May be seen as unambitious or conservative in business expansion.

OR

8b. Discuss any four environmental barriers that affect entrepreneurship. (Any other relevant points may be considered and given marks.)

- Financial constraints - Limited access to loans, investment, or seed capital.
- Regulatory & bureaucratic hurdles - Complicated licensing, taxation, and compliance processes.
- Lack of infrastructure facilities - Poor transportation, electricity, internet, and communication.
- Limited access to resources - Raw materials, skilled labour, or advanced technology are scarce.
- Unsupportive Business environment - Weak support from policymakers, industry bodies, or finance system.
- Cultural & social barriers - In some societies, entrepreneurship is not respected.
- Intense competition

PART C

Long Essay

A choice between two options for each question, answer one long essay questions, one from each pair

(Any other relevant points may be considered and given marks.)

9a. Renewable energy startup and its contribution to economic and social development.

Economic contribution: Generates employment, attracts investment, reduces energy import costs, and promotes local industries. (5 marks)

Social contribution: Empowers rural youth, ensures energy access, promotes environmental sustainability, and improves living standards. (5 marks)

(b) Discuss broader role of entrepreneurs in sustainable and inclusive growth.

Entrepreneurs create eco-friendly solutions, promote rural development, and encourage green innovation. (5 marks)

Inclusive entrepreneurship reduces inequality and ensures balanced regional growth. (5 marks)

OR

9b. (a) Explain how the women's eco-friendly bag initiative reflects social entrepreneurship. (10 marks)

- Focus on solving a social problem (plastic waste).
- Generates employment for rural women.
- Prioritizes community welfare and environmental sustainability over profit.

(b) Describe how Priya's contribution demonstrates intrapreneurship and ts significance to the company. (5 marks)

- She innovated within an organization, developed a recycling process, and reduced costs.
- Her actions improved efficiency and strengthened the company's sustainability reputation.

Significance: (5 marks)

- Encourages employee creativity, enhances competitiveness, and supports organizational innovation.

PART D

Compulsory Case Study

10a. Private limited company registration process and non-compliance effects.

Formalities before starting operations (14 marks – 2 marks for each step)

1. Obtain Digital Signature Certificate (DSC)
2. Apply for Director Identification Number (DIN)
3. Reserve Company Name
4. Draft and File MOA & AOA

• MOA (Memorandum of Association) – defines company objectives, scope, and subscribers.

•AOA (Articles of Association) – governs internal rules, management, voting rights, and meetings.

• Filed electronically using e-MOA & e-AOA

5. Submit Incorporation Application
6. Payment of Fees & Stamp Duty
7. Certificate of Incorporation

Effect of non-compliance: (6 marks)

Legal penalties, cancellation of registration, loss of credibility, and restrictions on business expansion.

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